

Housing

Source: <https://www.prarulebook.co.uk/prarules/housing/03-03-2026>

Effective Date: 03-03-2026

Type: PRA Rule

Scraped: 2026-03-02 20:49

1

Application and Definitions

1.1

If either Condition A or Condition B is met, this Part applies to a _firm_ with a _Part 4A permission_ that includes entering into a _regulated mortgage contract_ as lender, except:

1. (1) [deleted.]

2. (2) a _firm_ with a _Part 4A permission_ that includes effecting or carrying out a contract of insurance as principal.

1.2

This Part applies to an _overseas firm_ only in relation to activities carried on from an establishment in the _UK_.

1.3

A _firm_ that is a _parent undertaking_ must ensure that a _subsidiary undertaking_, which meets Condition A or Condition B, complies with the requirements of this Part in relation to activities carried on from an establishment in the _UK_, as if it were a _firm_ subject to those requirements.

1.4

1.3 does not apply in relation to a _subsidiary undertaking_ that:

1. (1) [deleted.]

2. (2) is a _firm_ that is otherwise subject to this Part;

3. (3) is a _firm_ with a _Part 4A permission_ that includes effecting or carrying out a contract of insurance as principal; or

4. (4) does not have a _Part 4A permission_ which includes entering into a _regulated mortgage contract_ as lender.

1.5

Condition A is that in the set of four consecutive _quarters_ ending on 30 June 2014, the _firm_ has entered into _regulated mortgage contracts_ under which the total _credit_ provided is or exceeds £100 million, but Condition A is not met if the _firm_ entered into less than 300 _regulated mortgage contracts_ in that period.

1.6

Where Condition A is met this Part applies from 1 October 2014.

1.7

Condition B is that during both of two consecutive sets of four _quarters_ the _firm_ has entered into _regulated

mortgage contracts_ under which the total _credit_ provided in each set of four _quarters_ is or exceeds £150 million, but Condition B is not met if the _firm_ entered into less than 300 _regulated mortgage contracts_ in each of those sets of four _quarters_.

1.8

Where Condition B is met, this Part applies from the start of the second _quarter_ following the end of the final _quarter_ relevant to the determination that the firm meets Condition B.

1.9

This Part ceases to apply (until Condition A or Condition B is met) if during both of two consecutive sets of four _quarters_ :

1. (1) the _firm_ has entered into _regulated mortgage contracts_ under which the total _credit_ provided is less than £150 million; or
2. (2) the _firm_ has entered into less than 300 _regulated mortgage contracts_ in each of those sets of four _quarters_.

1.10

In this chapter two consecutive sets of four quarters means:

1. (1) a second set of four _quarters_ ending on 30 September 2014 or on the last day of each subsequent _quarter_ ; and
2. (2) a first set of four _quarters_ ending on the last day of the immediately preceding _quarter_.

1.11

In this Part the following definitions apply:

credit

means the cash loan provided by a _firm_ under a _regulated mortgage contract_ :

1. (1) at the time the _regulated mortgage contract_ is entered into; or
2. (2) drawn down at a later date.

first charge

means a _legal mortgage_ ranking in priority ahead of all other _legal mortgages_ (if any) affecting the land in question

high loan to income mortgage contract

means a _regulated mortgage contract_ under which the _credit_ provided by a _firm_ to an individual, or to individuals jointly, is or exceeds a multiple of 4.5 times the individual's _income_ , or the individuals' joint _income_ , at the time at which that _income_ is assessed by the _firm_ for the purpose of entering into the _regulated mortgage contract_.

income

means the gross annual income, before tax or other deductions, of an individual taken into account by a _firm_ to calculate the _credit_ it will provide under a _regulated mortgage contract_.

legal mortgage

includes a legal charge and, in Scotland, a heritable security.

lifetime mortgage

has the meaning given in the PRA Handbook.

quarter

means any of the four calendar quarters of each year, the first quarter beginning on 1 January.

re-mortgage with no change to the principal sum outstanding

means a **_regulated mortgage contract_** under which the amount of **_credit_** provided does not exceed that outstanding to the **_firm_**, or to a different lender, under a previous **_regulated mortgage contract_**, or any other type of contract under which the obligation to repay the **_credit_** provided is secured by a **_legal mortgage_** on **_land_**. In determining the amount of **_credit_** provided, no account shall be taken of:

1. (1) arrangement fees;
2. (2) professional fees and costs; and
3. (3) administration costs.

regulated mortgage contract

has the meaning given in Article 61(3)(a) of the **_Regulated Activities Order_**, but:

1. (1) **_re-mortgages with no change to the principal sum outstanding_** ;
2. (2) **_lifetime mortgages_** ; and
3. (3) **_regulated mortgage contracts_** that are not **_first charge_** **_regulated mortgage contracts_**

must be disregarded.

relevant period

means, in relation to a **_quarter_**, the **_quarter_** and the three consecutive **_quarters_** preceding it.

2

High Loan to Income Allowance

2.1

Unless 2.3 or 2.4 apply, a **_firm_** must ensure that by the end of each **_quarter_** in which this Part applies the number of **_high loan to income mortgage contracts_** it enters into in the **_relevant period_** does not exceed 15% of all **_regulated mortgage contracts_** it enters into in that **_relevant period_**.

2.2

A **_firm_** that is part of a **_group_** may allocate all or part of its high loan to income allowance to any member of the **_group_**.

2.3

A **_firm_** that has allocated any part of its high loan to income allowance to another member of the **_group_** must ensure that the number of **_high loan to income mortgage contracts_** it enters into in the **_relevant period_** does not exceed the amount specified in 2.1, as reduced by the amount of the high loan to income allowance it has allocated under 2.2.

2.4

A _firm_ that is part of a _group_ must ensure that the number of _high loan to income mortgage contracts_ it enters into in the _relevant period_ does not exceed the amount specified in 2.1, plus any high loan to income allowance allocated to it under 2.2.

2.5

A _firm_ must keep a record of any part of a high loan to income allowance it has allocated or received.

2.6

In this chapter, a high loan to income allowance is the number of _high loan to income mortgage contracts_ a _firm_ may enter into in the _relevant period_ in compliance with 2.1 without the modifications in 2.3 or 2.4 applied.